

McDONALD'S CORPORATION

Fallen Arches?

A Dividend King at a 52-Week Low

Equity Research Note · Consumer Discretionary — Restaurants (QSR) · September 26, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$300.00	\$236.50 Sep 25, 2026	+27%	Medium Beta 0.45

Snapshot			
Market cap	~\$167.9 bn	Shares out. (dil.)	~710 mn
Enterprise value	~\$207 bn	52-week range	\$234.03 – \$341.75
Net debt	~\$39.2 bn	YTD / 1-yr return	-22.6% / -22.1%
TTM P/E / 2027E P/E	19.1× / 17.0×	Dividend yield	3.26% (\$7.72 annualized)
FY2025 revenue	\$26.89 bn (+4%)	FY2025 op. margin	46.1%
Next catalyst	Q3'26 earnings, ~Oct 22	Analyst consensus	Moderate Buy, PT ~\$300–\$321

This note is an independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from McDonald's SEC filings, earnings releases, the September 23, 2026 Investor Day materials, and reputable financial press as of September 26, 2026. Projections and the \$300 price target are the author's estimates.

1 Executive Summary

McDonald's (MCD) is the world's largest quick-service restaurant system — **46,028 restaurants in 100+ countries, 95% franchised, serving 70 million customers a day** — and its stock is trading at **\$236.50, essentially the 52-week low** and down 22.6% year-to-date. The selloff is not mysterious: U.S. comparable sales grew just 0.8% in Q2 2026 on *declining guest counts*, management openly admitted it "simply didn't execute," Burger King just posted an 8.5% U.S. comp on sharper value, and the market hated the price tag on the new growth plan unveiled at the September 23 Investor Day (\$8.5 billion of franchisee support through 2036 — shares fell ~6% that day).

We rate MCD a **BUY** with a **\$300.00** 12-month price target (~27% upside). Our thesis: the market is pricing McDonald's as a no-growth bond proxy with broken U.S. execution, but the underlying machine is intact — a 46% operating margin, 27%+ ROIC, ~\$7.2 billion of annual free cash flow, a 50-year dividend-growth streak (new Dividend King, 3.26% yield), and a credible 2030 roadmap to low-to-mid-50% margins. At 19× trailing earnings — below Yum! Brands and Domino's despite superior margins — the stock offers the rare combination of **defensive quality at a cyclical price**. The key debate is execution, not strategy: new U.S. president Skye Anderson's value reset and the "Make It Golden" service program (launching October 5) must convert traffic declines into gains by early 2027. This is a **medium-risk** compounder, not a deep-value turnaround — size positions accordingly and expect the dividend to pay you to wait.

Investment thesis — why own it

The selloff has decoupled price from business quality. MCD has fallen 23% from its \$341.75 high while 2025 delivered record revenue (\$26.9 bn), a 46.1% operating margin, and \$7.2 bn of free cash flow. Trailing P/E has compressed from the low-20s to 19.1× — now *below* Yum! (17.4× is close) and Domino's on earnings despite best-in-class margins and ROIC. EV/EBITDA of ~15× sits well under its 18–19× five-year average.

The franchise model is the moat that keeps compounding. 95% franchised restaurants generate rents and royalties — high-margin, capital-light cash flows insulated from store-level labor and food-cost volatility. \$28.2 bn of owned real estate, 670 million pounds of annual U.S. beef purchasing power, and the world's #1 restaurant brand (\$42.6 bn brand value) are not replicable by any competitor.

The NEXT strategy has real, quantified targets — and the spending is an investment, not a bailout. By 2030: operating margin in the low-to-mid 50% range (from 47%), ~250 bps of restaurant-level efficiency (~\$100K of annual cash flow per average U.S. restaurant, ~4-year franchisee payback), mid-to-high-80% free-cash-flow conversion, and +1.5 points of share in chicken and beverages. The \$8.5 bn franchisee commitment that spooked the market is spread over a decade and earns high-teens corporate returns.

Management named the problem and changed the leadership. Kempczinski's candor ("We don't have a strategy problem. We simply didn't execute") plus the appointment of Skye Anderson as U.S. president, a reset of the under-\$3 Everyday Affordable Price value platform (only 60–65% of restaurants were complying), and the October 5 "Make It Golden" hospitality relaunch give a concrete, near-term path to traffic recovery.

You are paid 3.26% to wait, with 50 years of raises behind it. The September 17 dividend increase to \$1.93/quarter (\$7.72 annualized) marked the 50th consecutive annual raise — Dividend King status held by fewer than 60 U.S. companies. The payout ratio is a comfortable ~56%.

Key risks — why the market is scared

U.S. traffic is still falling. Q2's +0.8% U.S. comp was all price/mix; guest counts declined. Burger King's +8.5% and Taco Bell's +7% show value-seeking customers are defecting to sharper-priced rivals. If Anderson's reset doesn't stabilize traffic by early 2027, the multiple stays depressed.

Beef inflation is brutal and structural. U.S. beef costs are expected to run above 10% in 2026, the cattle herd is the smallest since 1951, and beef is ~38% of U.S. food-and-paper costs. The CFO called

company-operated store margins "not acceptable."

Franchisee relations are strained. 95% of surveyed franchisees saw store-level profitability fall in Q1 2026; the NEXT plan asks ~\$800K per restaurant on top of \$400–450K remodel cycles. Rent relief helps, but adoption risk is real — and 95% franchised means McDonald's can't force the pace.

GLP-1 drugs are a slow-burn demand risk. ~30 million Americans now use them; Redburn estimates up to 28 million fewer annual McDonald's visits (~\$0.5–0.7 bn revenue drag). Management's protein-forward menu response (chicken bowls, egg bites) is sensible but unproven at scale.

2 Company Overview — What McDonald's Is and What It Is Doing

McDonald's Corporation, headquartered in Chicago, Illinois (~150,000 employees), is the world's largest restaurant company by systemwide sales. The business is best understood not as a restaurant operator but as a **franchisor and landlord**: independent owner-operators run ~95% of the 46,028 restaurants, while McDonald's collects rent (it owns most of the underlying land and buildings) plus royalties and fees — a model that produced a 46.1% consolidated operating margin in 2025.

Three reporting segments:

United States — ~39% of systemwide sales; ~13,800 restaurants, nearly all franchised. The profit engine and the current problem child (traffic declines, value-execution miss).

International Operated Markets (IOM) — ~35% of systemwide sales; company-operated and franchised restaurants in markets including the U.K., Germany, France, Australia, and Canada. The current growth driver: Q2 revenue +4.1%, operating income +5.4%.

International Developmental Licensed Markets (IDLM) — ~26% of systemwide sales; licensed and developmental markets including China and Japan. Highest unit-growth potential; China comps were negative in Q2 on a soft consumer backdrop.

Revenue mix (2025): franchised rents, royalties and fees **\$16.55 bn (+5%)**; company-operated restaurant sales **\$9.69 bn (-1%)**; other revenues \$0.65 bn; total **\$26.89 bn (+4%)**. Systemwide sales — the true scale of the brand, including franchisee sales — reached **\$139.4 bn in 2025 (+7%)** and ~\$37 bn in Q2 2026 alone.

What the company is doing right now — the five active fronts

1. McDonald's > NEXT (unveiled June 2026, detailed September 23). The successor to 2020's "Accelerating the Arches," organized around four pillars — Menu, Consumer, Restaurant, People — with the stated ambition to be "the first choice for more customers, more often." 2030 targets: low-to-mid-50% operating margin; ~250 bps of gross restaurant-level efficiency (~\$100K annual cash flow per average U.S. restaurant); +1.5 pp of global share in chicken and beverages while holding beef leadership; free-cash-flow conversion in the mid-to-high 80% range; G&A down to ~1.9% of systemwide sales; new units contributing ~2.5% to systemwide sales growth in 2027 (~2% by 2030). Backed by ~\$8.5 bn of franchisee partnering support through 2036 (~\$5 bn by 2030 via rent relief and capital), plus ~\$3 bn/yr baseline capex.

2. Fixing U.S. value execution. The January 2025 McValue platform (Buy-One-Add-One \$1, in-app deals) and April 2026 McValue 2.0 (10 items under \$3) failed on execution: only ~60–65% of U.S. restaurants honored the recommended "Every Day Affordable Price" pricing and consumer awareness fell short. New U.S. president Skye Anderson is leading the reset — temporary menu items, national digital promotions, personalized loyalty offers — with base menu pricing on beef, chicken and beverages now positioned below nearest competitors.

3. "Make It Golden" hospitality relaunch (October 5). A multi-year, systemwide customer-experience commitment — great food plus great hospitality — with global retraining of 2M+ crew and partners, timed to Founder's Day. The explicit goal: fix the service-speed and satisfaction scores that deteriorated as crews were overloaded with simultaneous deployments.

4. Technology and AI at restaurant scale. ArchIQ, a generative-AI restaurant operating system (multilingual order-taking, inventory, scheduling, AI suggestive-selling to lift average check), plus a retail media network being piloted in 450 company restaurants — envisioned as a potential billion-dollar, high-margin business. The digital backbone is formidable: ~220M 90-day active loyalty members (+13%) across 70 markets driving \$40B+ of annual loyalty sales (+20%), all feeding a unified global data lake for AI personalization.

5. Menu: chicken and beverages as the growth vectors. With beef costs squeezing, McDonald's is pushing where the puck is going: McCrispy now in 70+ markets, hand-breaded chicken expanding to more U.S. markets and Ireland in 2027, grilled chicken sandwiches/wraps, new McNugget flavors, and protein/GLP-1-oriented items (chicken bowls, snack wraps, egg bites). A new beverage platform (launched May 2026) is beating expectations in the U.S., Canada and Germany — higher checks (~50% above the full-day average), with over half of beverage traffic arriving after lunch. The failed CosMc's beverage concept (closed June 2025) was folded back into the mainline menu, and a dedicated beverage category team now owns the +1.5 pp share target.

Net assessment: this is an unusually *legible* corporate plan — quantified 2030 targets, named owners, dated launches — from a management team that has just publicly graded its own execution a fail. The question for investors is not whether the strategy is coherent (it is) but whether a 95%-franchised system can execute it at pace.

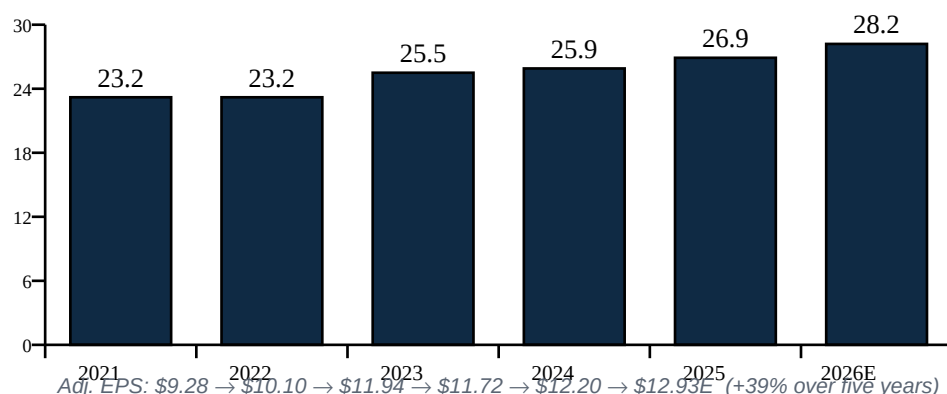
3 Financial Analysis

The P&L is a study in resilience: revenue has compounded through inflation, COVID, and consumer wobbles while the operating margin has held in the mid-40s — a profile no restaurant peer matches. 2022's dip reflects Russia-exit charges; the underlying franchise economics never broke.

\$ mn	2021	2022	2023	2024	2025	H1'26
Revenue	23,223	23,183	25,494	25,920	26,885	13,616
YoY growth	+21%	−0%	+10%	+2%	+4%	+4%
Operating income	10,356	9,371	11,647	11,712	12,392	6,292
Operating margin	44.6%	40.4%	45.7%	45.2%	46.1%	46.2%
Net income	7,545	6,177	8,469	8,224	8,563	4,345
Diluted EPS (GAAP)	\$10.04	\$8.33	\$11.56	\$11.39	\$11.95	\$6.10
Diluted EPS (adj.)	\$9.28	\$10.10	\$11.94	\$11.72	\$12.20	\$6.21
Free cash flow	—	—	—	6,700	7,200	—
FCF conversion	94%	89%	86%	81%	84%	—
Dividend / share	\$5.25	\$5.66	\$6.23	\$6.78	\$7.17	\$3.72

Sources: McDonald's 10-K filings (SEC EDGAR), Q2 2026 earnings release; FCF conversion from company Investor Overview Deck. 2021/22 operating income classification differs across data providers due to Russia-sale charges; net income and EPS agree.

Revenue (\$ bn, bars) vs. Adjusted Diluted EPS (\$, line proxy)



Q2 2026 — the quarter that broke the stock's momentum

	Q2'26	YoY	vs. consensus
Revenue	\$7,099 mn	+3.7%	in line (\$7.13 bn est.)
GAAP / adjusted EPS	\$3.32 / \$3.38	+6% / +6%	adj. beat by 1.8%
Global comparable sales	+1.3%	vs +3.8% in Q2'25	soft
U.S. comparable sales	+0.8%	negative guest counts	weak
IOM revenue / op. income	+4.1% / +5.4%	growth driver	solid
Operating margin	47.0%	flat YoY	—
Systemwide sales	\$37.0 bn	+5% (+4% cc)	—
Restaurants	46,028	+1,915 YoY	—

The quarter's real news was qualitative. Kempczinski: *"We don't have a strategy problem. We simply didn't execute at the level we needed to."* Three admitted failures: inconsistent Everyday Affordable Price execution, crews overwhelmed by too many simultaneous deployments (slower service, lower satisfaction), and underwhelming marketing (June FIFA campaign). The CFO cut the full-year FX tailwind to \$0.15/share and flagged a "challenging" China backdrop. The 50,000-restaurant target was pushed from 2027 to 2028.

Balance sheet, cash flow & capital returns

Leverage is elevated but investment-grade and stable. Long-term debt \$40.0 bn at 12/31/25 (\$38.4 bn a year earlier); cash \$0.8 bn → net debt ~\$39.2 bn. Company-presented Debt/EBITDA improved from 4.1× (2020) to 2.7× (2024). Ratings: Moody's Baa1 / S&P BBB+, both stable.

Negative book equity is a feature, not a bug. Shareholders' deficit was \$(1.79) bn at 12/31/25 (from \$(3.80) bn in 2024), driven by decades of buybacks exceeding retained earnings. P/B and D/E are meaningless here — judge the balance sheet on cash flow coverage, which is ample (\$10.6 bn of operating cash flow in 2025 vs. \$3.4 bn capex).

Capital returns are the quiet compounding engine. \$7.1 bn returned in 2025 (dividends + buybacks); \$3.9 bn in H1 2026 including \$1.25 bn of buybacks. The share count has been ground down for decades, adding ~2 points a year to EPS growth.

The dividend is aristocratic. \$1.93/quarter declared September 17 (+4%) → \$7.72 annualized, 3.26% yield — the 50th consecutive annual increase (Dividend King; fewer than 60 U.S. companies qualify). 10-year dividend CAGR 7.65%; payout ratio ~56%. At the current price the yield is the highest in 6+ years.

Returns on capital are elite. ROIC ~27–28%, stable over five years even as the capital base grew ~65% — the signature of a wide-moat compounder.

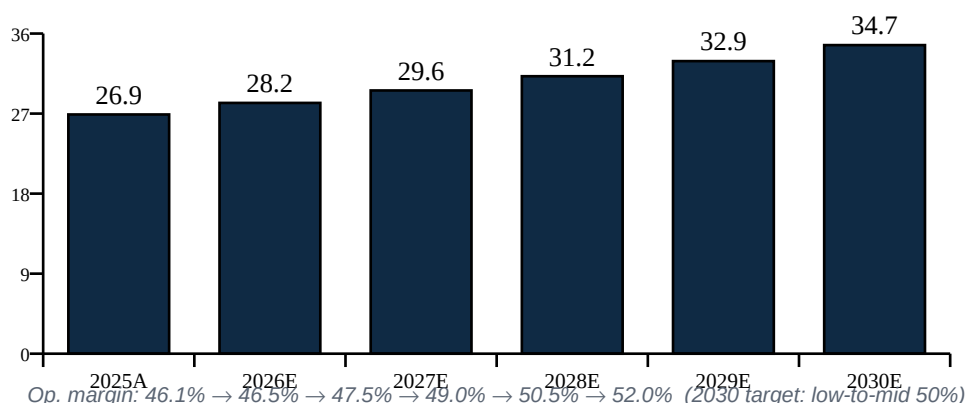
4 Growth Outlook & Forward Projections

We model revenue compounding at ~5–6% (2025–30) with operating margins expanding from 46% toward the low-50s as NEXT efficiency gains land and G&A leverage kicks in. Our 2026–27 estimates anchor to consensus (\$12.93 / \$13.89 EPS); the out-year ramp reflects the Investor Day margin framework. EPS grows faster than revenue on buybacks (~2%/yr share reduction).

\$ mn	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	26,885	28,150	29,600	31,200	32,900	34,700
Growth	4%	5%	5%	5%	5%	5%
Operating margin	46.1%	46.5%	47.5%	49.0%	50.5%	52.0%
Adj. diluted EPS	\$12.20	\$12.93	\$13.89	\$15.10	\$16.40	\$17.85
EPS growth	+4%	+6%	+7%	+9%	+9%	+9%
Free cash flow	7,200	7,600	8,100	8,700	9,300	9,900
Dividend / share	\$7.17	\$7.72	\$8.20	\$8.75	\$9.35	\$10.00

2026E/2027E revenue and EPS per Street consensus (Zacks/Yahoo); 2028E+ and margins are author estimates calibrated to the 2030 Investor Day targets (low-to-mid-50% operating margin, mid-to-high-80% FCF conversion). Dividend path assumes continued mid-single-digit raises.

Projected Revenue (\$ bn) and Operating Margin Path (2025A–2030E)



Growth bridges (2026–2030)

Traffic recovery in the U.S. (~35% of growth). The highest-leverage, least-certain driver. Anderson's value reset + "Make It Golden" must turn negative guest counts positive. Every 1 point of U.S. comp is worth roughly \$130–140 mn of high-margin franchised revenue.

Unit expansion (~30%). ~2,600 gross openings in 2026; new units contributing ~2.5% to systemwide sales growth in 2027 (~2% by 2030); 50,000 restaurants by 2028. Development is overwhelmingly franchised — capital-light for McDonald's.

Chicken and beverage share gains (~20%). The +1.5 pp category-share targets attack the two fastest-growing QSR occasions. Beverages carry the highest margins in the building and skew to afternoon/daypart expansion (over half of new beverage traffic arrives after lunch).

Digital, delivery and personalization (~15%). 220M loyalty members and a unified data lake feeding AI-driven offers; delivery is a ~\$20 bn systemwide business with a goal of routing 30% through the company's own app by end-2027 (lower aggregator fees, richer data).

5 Moat Assessment

McDonald's moat is **wide** — among the strongest in consumer — but it is a moat of scale and system, not of product. We score each pillar:

Moat pillar	Strength	Evidence
Brand	Very strong	World's #1 restaurant brand at \$42.6 bn brand value (Brand Finance 2026), ahead of Starbucks (\$37 bn) and KFC (\$16.5 bn); 17 menu brands each generating \$1 bn+ in annual sales.
Scale / purchasing	Very strong	~670M lbs of U.S. beef annually; unmatched supplier leverage; \$139 bn of systemwide sales fund marketing no rival can match.
Real estate	Strong	\$28.2 bn net property & equipment; ownership of land/buildings leased to franchisees = high-margin rental income plus site control.
Franchise system	Very strong	95% franchised → 46% operating margins, 27%+ ROIC, earnings insulated from store-level labor/food volatility; franchisee sunk capital makes defection uneconomic.
Digital ecosystem	Moderate–Strong	220M loyalty members, \$40B+ loyalty sales, unified global data lake; personalization and the retail-media pilot are emerging advantages.
Switching costs	Weak	Consumers multi-home across QSR; the moat is on the franchisee side (long leases, sunk remodel capital), not the consumer side.
Cost advantage durability	Moderate	Scale purchasing is real but beef inflation and franchisee cost pressure are currently testing it; efficiency gains (ArchIQ, 250 bps) are the offset.

Net: a **wide, scale-based moat with a demand-side soft spot**. Nobody can replicate the system; the risk is that value-conscious consumers temporarily rent their loyalty to whoever prices sharpest — which is exactly what Burger King and Taco Bell did in Q2. Moats don't prevent traffic quarters; they ensure the traffic comes back.

6 Competitive Landscape

Global QSR is a scale game McDonald's invented — and in Q2 2026, two scaled rivals out-executed it on the one dimension that currently matters: **value**. The competitive picture is a barbell: burger/QSR peers attacking on price, and fast-casual players attacking on quality perception.

Competitor	Scale	Q2'26 read	Threat assessment
Restaurant Brands (QSR) Burger King / Popeyes / Tim Hortons	~31K units	Global comp +3.8%; BK U.S. +8.5%; Popeyes -5.1%	The sharpest near-term threat. BK's 2-for-\$5 / 3-for-\$7 value crushed MCD's +0.8% U.S. comp. Execution gap, not brand gap — which cuts both ways.
Yum! Brands (YUM) Taco Bell / KFC / Pizza Hut	57K units	Taco Bell SSS +7%; system sales +8%	Taco Bell is the best-run QSR concept in America right now; beverage pilots (Live Más Café, +18% checks) attack MCD's beverage push directly.
Wendy's (WEN)	~7K units	Deep value: 9.7× '26E P/E	Direct burger rival but sub-scale and struggling; trades at half MCD's multiple for a reason. Not the share-taker.
Chipotle (CMG)	~3.7K units	~30× P/E	Fast-casual quality halo at a growth multiple; competes for lunch/dinner occasions but at 2× the price point. Different customer mission.
Starbucks (SBUX)	~40K stores	Breakfast/beverage rival	The beverage-share battle (+1.5 pp target) runs straight through Starbucks' morning daypart; MCD's price advantage is its weapon.
Domino's (DPZ)	~21K stores	16.2× P/E	Best-in-class QSR operator on delivery/tech; a valuation comp more than a direct traffic rival.

The scoreboard that matters right now is U.S. value execution: BK +8.5% and Taco Bell +7% vs. MCD +0.8% is the entire bear case in one line. The bull case is that this is a *self-inflicted, fixable* gap — 60–65% EDAP compliance is a management failure, not a structural defeat — and Anderson was hired specifically to close it.

Relative valuation — MCD screens cheap against its own peer set

Company	P/E (TTM / '26E)	EV/EBITDA ('26E)	Op. margin	Dividend yield
McDonald's	19.1× / ~18×	~15×	46%	3.26%
Yum! Brands	17.4× / 21.6×	16.4×	~36%	~2.0%
Restaurant Brands	~18.5× / 16.9×	13.8×	~38%	~3.4%
Domino's	16.2× / 21.1×	16.8×	~18%	~1.6%
Wendy's	9.7× ('26E)	8.2×	~16%	~5%+
Chipotle	~30×	—	~17%	nil

MCD now trades at a discount to Yum! and Domino's on earnings *despite* the highest margins, the highest ROIC, and the only Dividend King payout in the group. That relative mispricing is the core of the valuation case in Section 9.

7 Product Evaluation

McDonald's menu strategy is "**fewer, bigger, better**": 17 billion-dollar brands, ruthless SKU discipline, and growth concentrated in two vectors — chicken and beverages — where the company is under-shared relative to its beef dominance. We grade each platform on scale, economics, and strategic fit:

Platform	Scale / status	Economics & fit	Grade
Beef (Big Mac, Quarter Pounder, burgers)	Core; global beef share leader	Highest brand equity, but beef is ~38% of U.S. food-and-paper and inflation is >10%. Strategy: <i>hold</i> share, not chase it.	A–
Chicken (McCrispy, McNuggets, wraps)	McCrispy in 70+ markets; hand-breaded expanding '27	Lower input-cost volatility than beef; the +1.5 pp share target attacks Popeyes/Chick-fil-A's turf. Highest menu priority.	A–
Beverages (McCafé, new platform)	New platform launched May '26; beating plan	Best margins in the building; checks ~50% above average; afternoon daypart expansion. CosMc's learnings folded in.	A
Breakfast	U.S. daypart leader	Defensible ritual occasion; Egg McMuffin equity is durable; GLP-1 protein items (egg bites) extend it.	B+
McValue / EDAP (value platform)	National; execution failed in Q2	Only 60–65% pricing compliance killed the value signal. The <i>platform</i> is right; the <i>execution</i> was F-grade. Anderson's fix is the #1 near-term variable.	C+ → ?
Digital / Loyalty / Delivery	220M members; \$40B loyalty sales; ~\$20B delivery	Data + personalization + owned-app delivery = structural check and frequency lift. Retail-media pilot is free optionality.	A–

Product thesis in one line: the core (beef, breakfast) defends, chicken and beverages attack, value is being repaired, and digital is the connective tissue — a coherent portfolio with exactly one failing grade, and it is the one management just replaced the leadership over.

8 Valuation — Four Models, One Fair Price

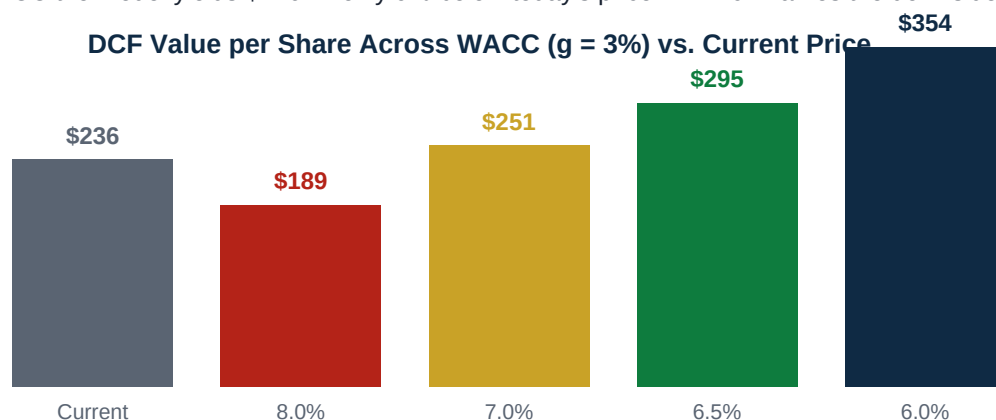
We triangulate fair value with four independent approaches: (1) a **discounted cash flow** on free cash flow (primary, 40% weight — appropriate for a cash-compounding franchise model); (2) **forward P/E** vs. history and peers (30%); (3) **EV/EBITDA** (20%); and (4) a **Gordon dividend discount model** (10% — a Dividend King deserves a DDM cross-check). All models use the September 25, 2026 close of **\$236.50** as the reference price.

8.1 Discounted cash flow (primary)

We discount projected free cash flow (2026E \$7.6 bn → 2030E \$9.9 bn, calibrated to the mid-to-high-80% FCF-conversion target) at a 6.5% WACC — itself conservative against the 5.8% CAPM-implied rate (beta 0.45, 4% risk-free, 5% equity risk premium) — with 3% terminal growth, and subtract \$39.2 bn of net debt across ~710 mn diluted shares.

WACC →	g = 2%	g = 3% (base)	g = 4%
6.0%	\$301	\$354	\$427
6.5% (base)	\$256	\$295	\$347
7.0%	\$221	\$251	\$289
7.5%	\$193	\$216	\$245
8.0%	\$170	\$189	\$212

Base DCF: enterprise value \$248.6 bn (of which \$291.3 bn is terminal value — normal for a perpetual compounder), less \$39.2 bn net debt → equity \$209.4 bn → **\$295/share**. Note the sensitivity: even at a punitive 7.5% WACC the model yields \$216 — only 9% below today's price — which frames the downside.



8.2 Forward P/E

On 2027E consensus EPS of \$13.89: McDonald's five-year average forward multiple is ~24×; franchised QSR peers (Yum!, Domino's) trade ~21–22× 2026E. We use **22×** — a discount to MCD's own history reflecting near-term execution risk, but a premium to peers reflecting superior margins and ROIC → **\$306/share** (range: 20× → \$278; 24× → \$333).

8.3 EV/EBITDA

2027E EBITDA of ~\$15.9 bn (~47% operating margin on \$29.6 bn revenue, plus ~\$2 bn D&A). Peers: Yum! 16.4×, Domino's 16.8×, Restaurant Brands 13.8×; MCD's own five-year average is 18–19×. At a peer-line **16.5×** → EV \$262 bn, less \$39.2 bn net debt → **\$314/share** (range: 15× → \$281; 18× → \$348).

8.4 Gordon dividend discount model

With a \$7.72 annualized dividend, 6% perpetual dividend growth (vs. 7.65% ten-year CAGR and 50 years of raises), and a 9% required return: $\$7.72 \times 1.06 / (0.09 - 0.06) = \mathbf{\$273/share}$ (range \$234–\$329 across 8.5–9.5% required returns). The DDM is the most conservative of the four — a useful anchor.

8.5 Blended fair value

Model	Weight	Fair value / share	Implied upside
DCF (WACC 6.5%, g 3%)	40%	\$295	+25%
Forward P/E (22× 2027E)	30%	\$306	+29%

Model	Weight	Fair value / share	Implied upside
EV/EBITDA (16.5× 2027E)	20%	\$314	+33%
Dividend discount (9% / 6%)	10%	\$273	+15%
Blended fair value → 12-mo. target	100%	\$300	+27%

Four independent models converge on ~\$295–\$315; the \$300 blend sits at the *low end* of the Street's \$300–\$321 consensus range — we are deliberately a touch more conservative than the average analyst on execution timing. Every model implies double-digit upside from \$236.50.

8.6 Scenario analysis

Scenario	Key assumptions	Target
Bull — \$365	NEXT executes; U.S. traffic recovers by mid-'27; comps 3–4%; op margin hits 52% by 2030; multiple re-rates to 25× on \$14.60 bull-case 2027 EPS.	+54%
Base — \$300	Gradual traffic stabilization; margins expand per Investor Day glide path; 22× multiple on \$13.89 consensus 2027 EPS.	+27%
Bear — \$212	U.S. traffic stays negative; beef inflation persists; franchisee resistance delays NEXT; EPS stalls ~\$12.50; multiple de-rates to 17×.	–10%

Probability-weighted (50% base / 25% bull / 25% bear): $0.5 \times \$300 + 0.25 \times \$365 + 0.25 \times \$212 = \$294 \rightarrow \$300$ **target** (rounded). The asymmetry is attractive: \$64 of upside to base vs. \$25 of downside to bear.

8.7 What the Street thinks

Consensus is **Moderate Buy** (1 Strong Buy / 17 Buy / 11 Hold) with an average target of ~\$300–\$321 depending on source — implying ~27–36% upside even at the low end. September saw broad target cuts (TD Cowen to \$270 Hold; RBC \$285 Sector Perform; BTIG \$295 Buy; UBS \$260; Morgan Stanley \$308 Equal Weight; Deutsche \$300 Buy; Citi \$310 Buy; Jefferies \$325 Buy; Argus \$310 Buy; Bernstein \$295 Market Perform; Guggenheim \$290 Neutral; Baird \$250 Neutral; Seaport initiated at Neutral) — but *no* Sell ratings. Our \$300 sits at the cautious end of consensus: we agree on the destination, we are simply underwriting a slower traffic recovery than the optimists.

9 Risks, Catalysts & What to Watch

Risk / catalyst	Direction	Timing	Why it matters
"Make It Golden" launch (Oct 5)	Catalyst ↑	Q4'26	First measurable read on service-speed and satisfaction recovery; early traffic data in Q4.
Q3'26 earnings	Catalyst ↑↓	~Oct 22	U.S. comp and guest-count trajectory under Anderson is the single most important print of the year.
U.S. value reset traction	Binary	H1'27	EDAP compliance back above 90% + positive guest counts = thesis confirmed; continued share loss to BK/Taco Bell = thesis broken.
Beef inflation / herd rebuild	Risk ↓	2026–28	>10% U.S. beef inflation in 2026; herd smallest since 1951; no rebuild before 2028. Caps franchisee margins.
Franchisee adoption of NEXT	Risk ↓	2027–30	\$800K/store ask on strained balance sheets; 95% franchised means McDonald's persuades, not commands.
GLP-1 demand drag	Risk ↓	Structural	~30M U.S. users; Redburn est. up to 28M fewer visits/yr. Protein-menu pivot is the mitigant to watch.
Tariffs / input costs	Risk ↓	Ongoing	Imported inputs and equipment cost pressure; broad inflation "sticky... around the world" (Kempczinski).
China / IDLM softness + FX	Risk ↓	2026–27	Negative China comps; FY26 FX tailwind cut to \$0.15/share.
Investor Day target delivery	Catalyst ↑	2027–30	250 bps efficiency and low-50s margins are 2027–28 stories; early franchisee ROI prints de-risk the \$8.5 bn commitment.

10 Recommendation

We rate McDonald's a **BUY** with a **\$300.00** 12-month price target, implying ~27% upside from \$236.50. This is the rare setup where **price and quality have diverged**: a wide-moat, 46%-margin, 27%-ROIC franchise compounder with a 50-year dividend-growth streak is trading at a 52-week low, at 19× earnings — cheaper than Yum! and Domino's on earnings despite superior economics — because of a fixable U.S. execution failure and market skepticism toward a well-quantified investment plan. Four independent valuation models converge on \$295–\$315 of fair value; the \$300 target sits at the cautious end of the Street's \$300–\$321 consensus.

The investment case rests on three beliefs: (1) the traffic problem is *executional*, not structural — new U.S. leadership, a repaired value platform, and the October 5 "Make It Golden" relaunch address the named causes directly; (2) the NEXT strategy's 2030 targets (low-to-mid-50% margins, 250 bps efficiency, mid-to-high-80% FCF conversion) are achievable because they are substantially within management's control via technology and G&A leverage; and (3) at 3.26% yield with a 56% payout ratio, shareholders are paid handsomely to wait for the recovery.

Position sizing guidance: this is a **medium-risk BUY** — a core defensive-compounder position, not a speculation. The dividend funds patience, but size for the possibility that traffic recovery slips into mid-2027. Key invalidation: U.S. guest counts still negative by Q2 2027 combined with continued share loss to Burger King/Taco Bell, or franchisee revolt that forces a material cut to the NEXT investment cadence. Conversely, two consecutive quarters of positive U.S. traffic would likely re-rate the stock toward the \$340+ pre-selloff range quickly, given how depressed expectations are.

Analyst certification & disclosures: This report is an independent research-style analysis prepared for informational purposes only. It is not investment advice, a recommendation to buy/sell any security, or an offer to transact. Financial figures are sourced from McDonald's SEC filings (10-K FY2025, 10-Qs), earnings releases and calls, September 23, 2026 Investor Day materials, and reputable financial press; projections and the \$300.00 price target are the author's estimates and involve uncertainty. Past performance does not predict future results. Investors should conduct their own due diligence and consult a licensed advisor.

Sources: McDonald's 2025 10-K and Q1/Q2 2026 10-Qs (SEC EDGAR); Q2 2026 earnings release (PR Newswire, Aug 4, 2026); Investor Day press release (McDonald's MediaRoom, Sep 23, 2026); Dow Jones Newswires; AP; Reuters (RBI Q2 2026); Brand Finance 2026; Zacks; MarketBeat; Fintnhub market data. Dated September 26, 2026.